

Smt.Mangala Varma vs Mphb on 6 July, 2023

Daily Order

M. P. STATE CONSUMER DISPUTES REDRESSAL COMMISSION, BHOPAL

PLOT NO.76, ARERA HILLS, BHOPAL

FIRST APPEAL NO. 172 OF 2017

(Arising out of order dated 29.12.2016 passed in C.C.No.702/2010 by the District Commission)

1. SMT. MANGLA VERMA,

W/O SHRI ARVIND VERMA,

2. ARVIND VERMA,

S/O SHRI S. K. VERMA.

BOTH R/O E-5/104, ARERA COLONY,

BHOPAL (M.P.)

Versus

1. M.P.HOUSING BOARD,

NOW KNOWN AS M.P.HOUSING & INFRASTRUTURE

DEVELOPMENT BOARD,

PARYAWAS BHAWAN, OLD JAIL ROAD,

BHOPAL (M.P.)

2. EXECUTIVE ENGINEER, M.P.HOUSING BOARD,

NOW KNOWN AS M.P.HOUSING & INFRASTRUTURE

DEVELOPMENT BOARD,

DIVISION NO.4, AYODHYA NAGAR,

BHOPAL (M.P.)

FIRST APPEAL NO. 480 OF 2017

(Arising out of order dated 29.12.2016 passed in C.C.No.702/2010 by the District Commis

M.P.HOUSING AND INFRASTRUCTURE

DEVELOPMENT BOARD,

THROUGH EXECUTIVE ENGINEER,

M.P.HOUSING AND INFRASTRUCTURE

DEVELOPMENT BOARD,

DIVISION NO.4, BHOPAL (M.P.)

Versus

SMT. MANGLA VERMA,

W/O SHRI ARVIND VERMA,

R/O E-5/104, ARERA COLONY,

BHOPAL (M.P.)

BEFORE :

HON'BLE SHRI A. K. TIWARI : PRESIDING MEMBER

HON'BLE DR. SRIKANT PANDEY : MEMBER

COUNSEL FOR PARTIES :

Shri Arvind Verma, complainant no.2 in person.

Shri Yogendra Sharma, learned counsel for opposite party-housing board.

O R D E R

(Passed on 06.07.2023)

The following order of the Commission was delivered by A. K. Tiwari, Presiding Member:

Aforesaid appeals are taken up together and are being disposed of by this common order. For convenience facts of the case are taken from the First Appeal No.172/2017 unless otherwise stated.

2. Aforesaid appeals arise out of the order dated 29.12.2016 passed by the District Consumer Disputes Redressal Commission, Bhopal (For short 'District Commission') in C.C.No.702/2010. Appeal no. 172/2017 has been filed by the complainants for enhancement of compensation whereas Appeal no.480/2017 has been filed by the opposite party for setting aside the impugned order.

3. Facts of the case in short as stated by the complainants are that in response to the advertisement dated 02.02.2007 given by the opposite party-housing board, published in Hindi newspaper 'Dainik Bhaskar' dated the complainant applied for the allotment of a built house HIG Super Delux (Duplex) at Ayodhya Nagar Extension, Bhopal. Area of the plot was 2324 sq.ft out of which built up area is 1632 sq.ft and estimated cost advertised under self-financing scheme was Rs.15.60 lacs. On the basis of said advertisement, the complainants after depositing registration amount of Rs.1,56,000/- got themselves registered and applied for aforesaid house under the scheme. It is submitted that the housing board by its letter dated 27.08.2007 intimated the complainants that house will be allotted on the revised estimated cost of Rs.16.75 lacs and sought consent for the same. It is further intimated that the house will be allotted through lottery on 13.09.2007. They were allotted house no. B-158.

4. It is further submitted that by letter dated 10.10.2007, the housing board further revised cost of Rs.16.75 lacs to Rs.17,75,440/- i.e. third time. It is alleged that cost of the house was revised unilaterally and arbitrarily without disclosing the reasonability of third increase. They made payment under protest and there was no default in payment on their part. Thereafter both parties entered into a registered agreement on 02.01.2008 After the aforesaid agreement they had paid the total amount as demanded. But again on 18.03.2010, the housing board further increased the cost to Rs.18,46,600/- apart from lease rent for 15 years amounting to Rs.35,640/-, service tax Rs.62,566/- and Rs.933/- totaling Rs.19,88,939/- and a demand of Rs.2,13,499/- was made towards balance amount. It is alleged that opposite party housing board committed deficiency in service and unfair trade practice by escalating the cost of the house again and again from Rs.15,60,000/- to Rs.18,46,000/- apart from other taxes. The complainants therefore filed a complaint before the District Commission alleging deficiency in service on part of opposite party-housing board seeking refund of amount of Rs.3,13,939/- charged in excess, Rs.1,95,000/- as compensation for delayed possession for the period from May-2009 to July-2010. Refund of service tax and better location charges was also sought.

5. The opposite party Housing Board resisted the complaint stating that before completion of construction, the HIG super delux house was allotted to the complainants and lease deed was also executed. In the lease deed executed between the parties, the estimated cost was shown but since cost of construction material was increased and therefore, the complainants are bound to pay the actual cost work out after completion of the house. As per agreement executed between the parties, the service tax was to be paid by the purchaser. In the advertisement only estimated cost of the

house was given. The complainant either deposit lease rent for a period of 15 years or can deposit per year. There has been no deficiency in service on part of the opposite party-housing board. It is therefore prayed that the complaint be dismissed.

6. The District Commission allowed the complaint directing the opposite party-housing board to refund Rs.47,000/- the excess amount charged within a period of two months. Interest @ 10% p.a. from 29.04.2010 till payment is also awarded. Compensation of Rs.5,000/- with costs of Rs.2,000/- is also awarded.

7. We have heard learned counsel for the parties. Perused the record of the District Commission.

8. Complainant no.2, who appears in person argued that the impugned order is patently perverse, illegal and is not based on facts and evidence. The District Commission has committed grave error in not appreciating the evidence available on record. The District Commission failed to discuss the averments and pleadings made with regard to illegal enhancement of cost number of times from its initial/original cost i.e. more than 10% of the original cost. The charges for the better location have illegally been received by the housing board as the allotment of the house was made by way of lottery. The possession of the house was handed over to the complainants on 01.06.2010 i.e. about after two years after registration of lease deed i.e. 02.01.2008. The District Commission has partly allowed the claim of the complainants partially without any legal basis and did not allow the total claim of Rs.6,24,038/-. The service tax was also illegally recovered from the complainants. It is therefore prayed that the prayer made in the complaint be allowed.

9. Learned counsel for the opposite party-housing board has submitted that the impugned order passed by the District Commission is against the facts and settled principle of law and deserves to be set-aside. It is submitted that the District Commission has erred in interpreting the provisions of 5(g) of the Contract Agreement wherein it has been specifically mentioned that the Lessee had agreed to pay other charges as decided by the board including maintenance charges, escalation up to 10% of the cost of the house, and the final cost of the houses will be inclusive of supervision charges, work charge and contingencies and other charges as per rules. Variation in the cost of the house occurred as per actual expenditure incurred by the housing board. In order to complete the house within given specifications, the tentative cost advertised is always based on estimates which are prepared prior to the start of the work, whereas, final cost of the houses is fixed considering the actual expenditure incurred.

10. He further argued that the District Commission erred in restricting the housing board to enhance the price more than 10% and that the housing board is only entitled to get Rs.13,67,300/- as cost against the cost of Rs.13,93,000/- and the housing board has wrongfully recovered extra Rs.26,000/-. The District Commission has also wrongly disallowed 5% better location charges on the cost of the plot. A booklet of rules and directives of the housing board is supplied to every applicant with the application form and in para 3 of the contract agreement clearly provides that all

the terms and conditions of the registration/application forms.. same shall be read as a part of the agreement. The rules supplied to the complainant at the time of application clearly provides 5% of the cost of the plot will be paid to the housing board towards better location charges. Every housing scheme, its execution, rules related to any scheme have statutory enforceability under the M.P.Housing and Infrastructure Development Board Act, 1972. It clearly demonstrates that any rules/circulars published/issued by the Board in relation to any housing scheme have legal enforceability and binding on the persons, who have verified these rules and instructions issued time to time in relation the scheme with their signature and application form.

11. The District Commission failed to consider this legal position. In a self-financing scheme costing plays an important role. An applicant cannot be permitted to buy a house at a price which is less than the actual construction cost. The disputes regarding escalation in price are not entertainable before the District Commission constituted under the Consumer Protection Act, 1986 (for short the 'Act'). The scheme of the Board is based on 'no profit no loss' basis and without any commitment of delivery of possession. The complainant neither alleged nor proved that there has been any negligence, short comings or inadequacy on part of Board. Reliance was placed on the decision of this Commission in First Appeal No. 2190 OF 2017 (M.P. Housing Board and Infrastructure Development Board Vs Smt. Anuradha Nagar) decided on 21.03.2023.

12. The complainant no.1 has filed her affidavit along with 11 documents in support of complaint. On behalf of opposite party affidavit of Santosh Patil along with two documents has been filed in support of their contentions.

13. Having heard learned counsel for the parties and on perusal of record as also the impugned order we find that the document no.1 filed by the complainant is advertisement in which estimated cost was shown as Rs.15.60 lacs. Document no.2 is letter dated 27.08.2007 of housing board wherein the revised estimated cost of house was intimated to the complainant as Rs.16.75lacs for which the consent was sought and the complainant no.1 vide letter dated 09.09.2007 (document no.3) has given consent for the revised estimated cost of the house. Thereafter on 02.01.2008, an agreement for construction and transfer of constructed house was executed between the parties wherein the cost of the house and different charges were mentioned. In clause 5 it has been specifically mentioned that the Lessee has agreed to pay final cost as fixed by the board in case of escalation which includes escalation variation in quantity/quality, change of specification etc. Since cost advertised at the time of registration is tentative, the lessee has also agreed to pay other charges as decided by the board including maintenance charges, escalation up to 10% of the cost of the house, and the final cost of the houses will be inclusive of supervision charges, work charge and contingencies and other charges as per rules. By signing the said agreement, the complainants are bound to pay the charges as may be fixed by the housing board since the agreement is binding on both parties.

14. So far as the question of better location charges is concerned, complainant no.2 argued that the charges for the better location have illegally been received by the housing board as the

allotment of the house was made by way of lottery. On going through the map available in the record filed by the complainants themselves it is clear that the house no.B-158 allotted to the complainants is situated in better location i.e. in front of road and garden. In the directives/Rule Book "Nirdeshika" issued by the housing board along with application form it is specifically mentioned that better location charges will be payable. It is only after lottery, if the house allotted is situated in better location, the housing board can charge the better location charges from the allottee as per rules. So far as the lease rent, service tax and maintenance charges are concerned, the complainants agreed to pay the same as per agreement. From the advertisement (document no.1) we find there is specific mention of only estimated cost and not of final cost.

15. The complainants got registered themselves for house and had deposited registration fees, as also the remaining amount. At the time of registration a Rule Book "Nirdeshika" had already been given to the complainant which contains rules describing the various conditions. In the said rule book, in Rule-1, it is categorically mentioned that the rates are fluctuating and the amended terms amended from time to time will be binding on the applicant/allottee. In case of disagreement, the applicant/allottee is at liberty to withdraw the deposited amount with interest. It is expected from the complainant that she/he may get information regarding registration, allotment, possession of the scheme.

16. In Bangalore Development Authority Vs Syndicate Bank II (2007) CPJ 121 (SC) the Hon'ble Supreme Court has held that "Where the plot/flat/house has been allotted at a tentative or provisional price, subject to final determination of price on completion of the project, the Development Authority will be entitled to revise or increase the price."

17. It is pertinent to mention here that the main issue involved in the matter is regarding escalation of cost/pricing. We are in full agreement with the arguments of the learned counsel for the opposite party-housing board that it is well settled that the Consumer Forums cannot go into the question of pricing of houses/flats and hence we also refrain to deal with the issue involved in the matter.

18. The Hon'ble National Commission in case of Managing Director, Cooperative Housing Complex of Housefed, Punjab Vs Gurudev Singh Azad 2018 SCC OnLine NCDRC 74 in para 11 has held:

Having regard to the catena of judgments of the Hon'ble Supreme Court, there is force in the contention of the learned counsel for the Appellant that the 'Consumer For a' do not have jurisdiction to decide the pricing of the Housing Sector.

19. Similarly, the Hon'ble National Commission in case of Rasheed Ahmed Usmani and Others Vs DLF Ltd 2019 SCC OnLine NCDRC 84. in para 442 has reproduced the law laid down by

the National Commission in earlier decision of (Three Member Bench) in Manohar Lal Sharma Vs D. D. A. I (1994) CPJ 29 (NC) that:

"After advertng to the relevant decisions on the point this Commission held that the question of pricing cannot be gone into by the Consumer Forums since the price of the flats is not fixed by any law and that even if any excess charge has been collected by way of price that will not constitute a ground for contending that there is a deficiency in service on the part of the opposite party."

20. In Sudha Nagla Vs Rajasthan Housing Board IV (2016) CPJ 63 (NC) the Hon'ble National Commission has held that question of costing or price fixation of flats/houses or land by a public authority is not within the purview of courts. Similar view has been taken by this Commission in First Appeal No.341/2013 and other connected First Appeals (M.P.Housing & Infrastructure Development Board Vs Smt. Saroj Agrawal) decided on 22.08.2022 and in First Appeal No. 2190 OF 2017 (M.P. Housing Board and Infrastructure Development Board Vs Smt. Anuradha Nagar) decided on 21.03.2023.

21. In view of the aforesaid settled position of law, the impugned order passed by the District Commission cannot be sustained and is hereby set-aside.

22. In the result, the First Appeal No.172/2017 filed by the complainants is dismissed and the First Appeal No.480/2017 filed by the opposite party-housing board is allowed. However, no order as to costs.

23. This order be placed in record of Appeal no. 172/2017 and a copy be placed in record of Appeal no. 480/2017.

(A. K. Tiwari)

(Dr. Srikant Pandey)

Presiding Member

Member